

reminder of how important it is to plan your taxes. A little money saved now can be worth a lot more in the future, thanks to the compounding of investment returns.)

Now let's assume that the money is moved to a standard retirement portfolio that is 80 percent bonds and 20 percent blue-chip stocks. The bonds return 5 percent per year before tax, all as coupon income taxed at 40 percent. So the net bond return is 3 percent. The high-yielding stocks pay an average 4 percent in dividends and also make 4 percent in capital gains, to give 8 percent total. Dividends are taxed as income at 40 percent and capital gains are taxed at 20 percent, to give net stock returns of 5.6 percent per year.

So the 80/20 bond/blue-chip portfolio returns 3.52 percent after tax. If the investments are untaxed, then the return would be 5.6 percent. (I realize dividends are taxed at a lower rate than earned income in the United States. But this may not always be the case. And this is only an illustration. The conclusions that I come to are unchanged.)

A return of 3.52 percent after tax over 30 years works out at 2.82 times the original investment—or a 182 percent gain. Untaxed returns at 5.6 percent per year would be 5.13 times your money—a 413 percent gain.

So 30-year taxed profits under the family office strategy were an estimated 1,899 percent. But under the “low-risk” strategy, they were an estimated 182 percent. Cutting the annual after-tax profit from 10.5 percent to 3.52 percent is a reduction of two-thirds. But over 30 years, it's a reduction of over 90 percent—all because of the loss of compounding.

After inflation, the “low-risk” strategy will most likely lose money, especially if inflation increases, as we believe it will. This is because the value of the bond portfolio will take a hammering. There is nothing “low risk” about that.

The immediate problems in the income portfolio are twofold. The returns are lower, and the tax rate is higher. So you get a double hit to long-term returns. Your profits are lower, and your profits on the profits are *much* lower.

Still, you may still need to live off your investments. But to do this you don't need to have low-return income investments. You just need profits. Each year, you could make sure you have a minimum of, say, 5 percent of